his “floor-and-ceiling” spending approach. This method begins by applying the fixed-percentage rule, which allows greater spending when markets are up and forces spending reductions when they are down. While he still allows spending to fluctuate considerably, Bengen’s new strategy implements limits in both directions with hard-dollar ceilings and floors.

Exhibit 6.9 provides a baseline example for this family of rules. The ceiling is set at 20 percent above the real value of the first year’s withdrawal, and the floor is 15 percent below that same value (unless wealth depletes). With an initial real withdrawal of $4.00 from $100.00, the floor and ceiling are set at $3.40 and $4.80, respectively. This smooths fluctuations by keeping spending from drifting too far from its initial level.

While the hard-dollar floor ensures spending never drops too low, it is important to recognize that it also restores the possibility of portfolio depletion, which the fixed-percentage rule seeks to eliminate. In addition, the failure rate comparison for this rule will be less meaningful if spending is already lower in the period before wealth depletion than with constant inflation-adjusted spending. Bengen determined that the floor-and-ceiling rule increased the historical worst-case initial spending rate by 10 percent, thanks to its allowance to cut spending when markets perform poorly. Exhibit 6.9 illustrates what happens when initial spending remains at 4 percent and spending fluctuates only within the band allowed by the rule.

Remaining wealth is better supported on the downside as a result of the 15 percent spending reductions. In poor market environments, the reduced spending helps preserve the portfolio balance, so about 50 percent of the initial portfolio balance remains after thirty years. With the constant inflation-adjusted spending rule, some scenarios put the portfolio on the verge of depletion after thirty years, so this spending rule has made a substantial contribution to preserving wealth in the worst-case scenarios. A willingness to reduce spending by up to 15 percent from the initial level provides a great deal of support for sustaining the investment portfolio in retirement. Placing a ceiling on spending will preserve sustainability by saving more for future rainy days. While including a floor on how far spending can fall opens the possibility of wealth depletion, it becomes increasingly unlikely as the minimal floor decreases.